

CONSORTIUM LETTER OF INTENT / AGREEMENT

(To be executed on Non judicial Stamp paper of appropriate value)

This Consortium Agreement ("Agreement") is made and entered into as of this ____ day of ____ (Month), ____ (Year), by and between:

1. **XYZ Pvt. Ltd.**, a company incorporated under the Companies Act, 1956/2013, having its registered office at _____, hereinafter referred to as "**XYZ**" (which expression shall, unless repugnant to the context or meaning thereof, be deemed to include its successors and assigns);

AND

2. **PQR Services Pvt. Ltd**, a company incorporated under the laws of India, having its registered office at _____, hereinafter referred to as "**PQR**" (which expression shall, unless repugnant to the context or meaning thereof, be deemed to include its successors and assigns);

WHEREAS:

- A. **XYZ** and **PQR** (collectively referred to as the "Parties" and individually as a "Party") desire to collaborate and form a **Consortium** for the purpose of jointly bidding, designing, developing, and executing:

Tender Name - _____

Tender No. _____

- B. The Parties wish to define their roles, responsibilities, and profit-sharing arrangements for the Consortium in this Agreement.
- C. NOW, THEREFORE, in consideration of the mutual covenants, terms, and conditions herein set forth, the Parties agree as follows:

1 FORMATION of CONSORTIUM

- 1.1. The Parties hereby agree to associate and form a Consortium for the exclusive purpose of jointly executing, managing, and completing the Project in accordance with the requirements of the Client, _____, applicable Classification Society Rules, and statutory regulations including compliance with the IWAI.
- 1.2. The Consortium shall operate under the name and style of “**XYZ PQR Consortium.**”
- 1.3. The objective of the Consortium is to synergize the hybrid propulsion engineering and automation expertise of **XYZ** with the naval architecture, marine construction, and vessel integration expertise of **PQR**, thereby ensuring comprehensive, compliant, and efficient execution of the Project.

2 Scope of Work

2.1 XYZ shall be responsible for:

- a) **Propulsion System Engineering Package**, including but not limited to Propulsion Units, Drives, Power Management System (PMS) / Energy Management System (EMS), Class Approved LTO Battery Bank (as per design), Class Approved Marine Diesel Generator (DG), DC Link Panel, Main Switch Board, Emergency Shutdown System (as applicable), Suitable Fire Suppression System for the LTO Battery Banks, Shore Charging System, and all required Integration Drawings and system schematics, Class Approved Design Documents, Final Dossier, FAT before dispatch, Training, Onboard Spares, Special Tools / Kit (if any)
- b) **Supply and Procurement Management** of the above-mentioned equipment, together with all associated instrumentation, alarms, monitoring systems, and Human Machine Interface (HMI)
- c) **System Integration and Commissioning**, including onboard integration supervision, commissioning activities, Harbour Acceptance Tests (HAT), Sea Trials, performance compliance validation, and submission of complete propulsion and electrical documentation for Classification Society approval and compliance with the Inland Waterways Authority of India (IWAI).

2.2 PQR shall be responsible for:

- a) Hull construction, structural works, outfitting, development of spaces and compartments, and equipment foundations.

- b) Routing works including cabling, piping, and exhaust systems, along with complete mechanical installation works.
- c) Accommodation and cabin construction, and overall vessel construction under applicable Classification Society Rules.
- d) Implementation of XYZ's integration requirements, including but not limited to battery room construction, ventilation systems, cable routing infrastructure, DG exhaust arrangements, and all associated structural and installation provisions necessary for proper system integration.

3 PROFIT SHARING

3.1 Profit Sharing and Financial Arrangements

The Parties agree that the net profits arising out of the execution of the Project shall be distributed between the Parties in the following ratio:

XYZ – 49%

PQR – 51%

- 3.2 For the purpose of this Agreement, "Net Profit" shall mean the total project revenue received, less all direct and indirect Project-related expenses, including but not limited to costs of materials, labor, research and development, operational expenses, subcontracting, statutory payments, third-party procurement, logistics, testing, commissioning, and any other expenditure incurred for execution of the Project.
- 3.3 Unless otherwise expressly agreed in writing between the Parties, each Party shall bear its own corporate overheads, administrative expenses, and general operational costs not directly attributable to the Project.

PQR shall act as the Lead Partner, responsible for overall contract management, coordination, and single-point responsibility to the Client.

4 MANAGEMENT AND DECISION-MAKING

4.1 Steering Committee:

A Steering Committee shall be constituted comprising **two (2)** representatives from **PQR** and **one (1)** representative from **XYZ** to oversee Project execution, financial management, and regulatory compliance, execution, financials, and compliance.

4.2 Decision-Making

- Strategic Decisions (including execution plans, pricing, and external collaborations) shall be made by majority vote (2:1).
- Technical Decisions relating to vessel design and system integration shall require mutual written consent of both Parties.

5 INTELLECTUAL PROPERTY RIGHTS (IPR)

5.1 Any new intellectual property, patents, designs, or proprietary developments created during execution of the Project shall be jointly owned by the Parties as follows:

- **XYZ** shall retain One Hundred percent (100%) ownership of all newly developed intellectual property related to the Propulsion System Engineering Package, including propulsion, battery, control, integration, testing, and related Class and IWA documentation.
- **PQR** shall retain One Hundred percent (100%) ownership of all newly developed intellectual property related to vessel design, structural works, Class-compliant construction, and associated marine integration solutions.

5.2 Neither Party shall license, assign, transfer, or commercially exploit any jointly owned intellectual property without the prior written consent of the other Party.

6 CONFIDENTIALITY

6.1 The Parties shall maintain strict confidentiality of all technical, commercial, financial, and strategic information exchanged under this Consortium.

6.2 No Party shall disclose any proprietary or confidential information relating to the Project or Consortium to any third party without prior written consent of the other Party, except as required by law or regulatory authorities.

7 TERM AND TERMINATION

7.1 This Agreement shall remain valid for a period of **five (5) years** from the Effective Date and may be extended by mutual written agreement of the Parties.

7.2 Either Party may terminate this Agreement upon ninety (90) days' prior written notice in the event of:

- A material breach of this Agreement that remains uncured for thirty (30) days following written notice; or

- Insolvency, liquidation, or bankruptcy of the other Party.

7.3 Upon termination, the Parties shall complete any ongoing contractual obligations as mutually agreed, and all outstanding financial liabilities shall be duly settled in accordance with this Agreement.

8 GOVERNING LAW AND DISPUTE RESOLUTION

8.1 This Agreement shall be governed by and construed in accordance with the laws of **India**.

8.2 The Parties shall endeavor to resolve any dispute, controversy, or claim arising out of or in connection with this Agreement through amicable negotiations. If the dispute remains unresolved within thirty (30) days, the same shall be referred to arbitration in accordance with the provisions of the Arbitration and Conciliation Act, 1996.

8.3 The seat and venue of arbitration shall be Pune, Maharashtra, and the proceedings shall be conducted in the English language. The arbitral award shall be final and binding upon both Parties.

9 MISCELLANEOUS

9.1 No Partnership or Agency

Nothing contained in this Agreement shall be deemed to constitute a legal partnership, joint venture, or agency relationship between the Parties. Neither Party shall have the authority to bind the other except as expressly provided herein.

9.2 Amendments

Any amendment, modification, or supplement to this Agreement shall be valid only if made in writing and duly signed by authorized representatives of both Parties.

9.3 Force Majeure

Neither Party shall be liable for any delay or failure in performance of its obligations under this Agreement if such delay or failure is caused by events beyond its reasonable control, including but not limited to natural disasters, war, acts of government, strikes, or other force majeure events. The affected Party shall promptly notify the other Party in writing of such occurrence.

IN WITNESS WHEREOF, the Parties hereto have executed this Agreement on the date first written above.

For

XYZ Pvt. Ltd.

Authorized Signatory

Name: _____

Designation: _____

Date: _____

For

PQR Services Pvt. Ltd

Authorized Signatory

Name: _____

Designation: _____

Date: _____